Clean Energy & Energy Transition

Constellation Energy (NASDAQ: CEG)

Constellation Energy is the largest nuclear operator in the U.S. Its contracted base earnings are set to grow about 23% a year, from roughly $7.65 per share in 2027 to $11.40 - $11.90 in 2029, as new Power Purchase Agreements (PPAs), uprates, and credit-backed revenue come online. However, the market has already noticed. We rate CEG an Accumulate. Our 2027 and 2028 EPS estimates sit about 8% and 14% below consensus, but our upside doesn't rely on earnings beating the Street. Instead, the stock currently trades at 18.8x our 2028E EPS, below its 23x forward P/E median since 2022. Combined with the recent pullback, a return to 22.5x implies about 20% upside.

Investment summary

Long-term contracts are turning Constellation's nuclear output into stable, long-dated revenue. CEG has recently signed long-term agreements with Amazon (190 MW, Sept 2026), Google (890 MW, Oct 2026), Meta (1,121 MW, Jun 2025), and Microsoft (835 MW, Sept 2024): some of the market's most ambitious hyperscalers [1, 6, 7].

Zero Emission Credit (ZEC) policies are providing Constellation with a stable earnings floor. New York recently renewed their Zero Emission Credit Program to 2049 [9]. However, such policies don't have such longevity in other key states. Illinois, where CEG hosts six nuclear plants, currently features two programs: ZECs and Carbon Mitigation Credits (CMCs) for five of CEG's Illinois plants [1]. Both programs expire in 2027, and renewal is uncertain [1].

Contracted base earnings are set to compound at around 23% per year. Base EPS is expected to rise from roughly $7.65 in 2027 to $11.40 - $11.90 in 2029 [2].

We rate CEG an Accumulate, with a 12-month target of $329.63. With a five-year median forward P/E ratio of about 23x, we apply a 22.5x multiple to our 2028E EPS to get our target share price [5]. This is a ~47% premium to VST's 15.3x multiple, which we attribute to CEG's larger nuclear fleet and breadth of hyperscaler relationships.

PELAGIC LENS

Constellation Energy is the nation's largest producer of clean and reliable energy. It generates 10% of the United States' emissions-free electricity with a capacity factor exceeding 94%.

RATING
Accumulate

12-MONTH TARGET
$329.63

PRICE (AS OF 10/15/2026)
$275.00

UPSIDE TO TARGET
+19.9%

MARKET CAP
$97.4B

ENTERPRISE VALUE
$121.4B

52-WEEK RANGE
$ 228.63 – $412.70

BEAR / BULL RANGE
$239.58 – $408.00

2028E ADJUSTED EPS
$14.65

P/E ON 2028E EPS
18.8x

NET DEBT (6/30/26)
$24.0B

SECTION 1

Business Model

What is Constellation Energy, how does it generate revenue, and how stable is it?

94.7%	**$25.5B**	**22 GW**
Nuclear capacity factor [1]	In 2025 revenue [1]	Of nuclear capacity [1]

Overview

CEG is the largest civilian nuclear operator in the U.S. and earns $25.5B of 2025 revenue through a mix of selling power into regional wholesale markets, long-term power purchase agreements, and capacity auctions [1].

Historical Snapshot

CEG's nuclear fleet traces its roots back to Exelon, assembled through decades of acquisitions including PECO, Commonwealth Edison, and the original Constellation Energy Group. Following its spinoff from Exelon in February 2022, CEG has operated as a standalone clean energy producer. In January 2026, CEG closed its roughly $26.6B acquisition of Calpine Corporation, materially expanding its natural gas and geothermal footprint and creating the largest private-sector power producer in the world. [1, 11].

How Constellation Makes Money

Wholesale power markets are both CEG's largest and most volatile revenue channel [12]. Prices are driven by weather, natural gas, and overall demand. Capacity payments, which are fixed financial compensation to providers for being available to generate electricity during peak hours, are more stable and have risen with data center demand. Long-term PPAs with hyperscalers are a growing source of CEG's revenue. They fix electricity generation volume and price for years, trading potential upside for earnings certainty [1].

How Constellation Manages Volatility

CEG hedges forward sales on a ratable 90/60/30 program. It aims to lock in roughly 90%, 60%, and 30% of expected generation for the current year, the next year, and the year after next respectively. This strategy brings multiple benefits, including reduced revenue volatility and the fact that price changes reach earnings gradually instead of all at once. State ZEC and CMC policies are also helping CEG. New York's ZEC program now runs through 2049, while Illinois' ZEC and CMC programs run through 2027 [1]. These programs financially compensate CEG for simply producing energy without greenhouse gas emissions, adding an additional layer of safety.

SECTION 1 Continued

Business Model

Exhibit 1 (Revenue and profit by operating segment):

Segment	Share of Revenue	2025 RNF ($M)	Share of RNF	Main Driver	Key risk
Mid-Atlantic	31.5%	3,411	32.0%	PJM capacity market payments, nuclear uprates	Capacity market redesign
Midwest	25.9%	3,702	34.7%	ZEC / CMC backed nuclear, power purchase agreement with Meta	Illinois credit programs expire in 2027
New York	11.6%	1,600	15.0%	ZEC renewal through 2049	Slower load growth
ERCOT	6.6%	1,137	10.7%	Calpine acquisition (natural gas), weather demand spikes	Energy market price swings
Other	24.4%	819	7.7%	Geothermal, gas, renewables	Low profit margins

Source: Constellation Energy Corp., Form 10-K, FY2025 [1]
Pelagic Calculations: Share of Revenue, Share of RNF
Revenue Net of Fuel (RNF) = Total Revenue – Purchased Power – Fuel Expense

CEG's profit is concentrated in its nuclear-heavy regions. The Midwest and Mid-Atlantic markets alone produce about two-thirds of 2025 RNF. The Midwest and New York segments also punch significantly above their Share of Revenue weight in terms of RNF percentage. On the other hand, the Other segment, which covers parts of the Western U.S., New England, the South, and Canada, earned only 7.7% of RNF on 24.4% of revenue. This mix supports the premium that CEG trades on. It shows that the steadier earnings of nuclear are a significant percentage of RNF, which helps explain CEG's higher valuation multiple, but it also makes state policy the main swing factor: five plants in Illinois depend on credits that expire in 2027 [1].

Base vs. Enhanced Earnings

CEG divides its earnings into two parts that behave differently: base and enhanced. Base earnings, about 56% of what CEG currently earns by our estimates, are what the company describes as contracted and visible [2]. This can include PJM (Pennsylvania, Jersey, Maryland) capacity payments and PPAs. Enhanced earnings, the other 40 – 45%, are more volatile. They depend on forward power prices, electricity demand, commercial margins above the 10-year average, and market volatility. As new contracts are signed and revenue from existing PPAs is recognized, more of the company's profits shifts into base earnings, which is the main source of growth in our thesis.

SECTION 2

Growth Drivers

Why do we expect Constellation to grow over the next few years?

Long-term Contracts with Big Buyers

As of October 2026, CEG has signed the most PPAs with hyperscalers in comparison to other clean energy companies. They've signed contracts with Microsoft (Crane, 835 MW), Amazon (Calvert Cliffs, 190 MW), Meta (Clinton, 1,121 MW) and most recently Google (Uprates across 11 reactors in PJM, 890 MW) [6, 7, 8, 13]. In their Q2 2026 earnings presentation, CEG notes that their contracts have average durations of 18.5 years and they begin 2029 – 2031 and are fully ramped by 2032 [2]. This is why real growth may not arrive in the next 12 months, and why we believe 2027 – 28 earnings can sit below consensus before a jump in 2029.

Uprates Add Capacity at Existing Plants

Under the aforementioned Google deal, CEG is set to invest more than $4.3B to add 890 MW of electricity capacity across 11 nuclear units in Illinois, Pennsylvania, and New Jersey, with the first delivered by 2028 and all by 2032 [7]. While not a hyperscaler, Walmart has signed two 15-year contracts to buy 176 MW of electricity from CEG's Dresden facility, including 30 MW of uprates, starting in 2029 and 2030 [15]. CEG is also currently executing an $800M plan to increase capacity of its Byron and Braidwood nuclear plants in Illinois by 135 MW [14]. Work at Byron and Braidwood is anticipated to be completed in full by 2029 [14]. Because uprates reuse existing sites, they add capacity typically cheaper than new construction.

ZEC & CMC Policy Provides a Stable Floor

State and Federal policy are adding another layer of stability for CEG's earnings. New York, where CEG's four upstate reactors operate, recently renewed their ZEC policy all the way through 2049 [9]. Federal nuclear Production Tax Credits (PTCs) are also still in action until 2032, even after the One Big Beautiful Bill Act [16]. However, there is a limit: Illinois' CMC program ends in 2027 [1]. The floor is strong in New York and the federal layer, but it's not entirely universal [1].

Exhibit 2: Base Earnings Per Share (EPS) Path

	2026	2027	2028E	2029
Base EPS	$6.65 – $6.75	$7.60 – $7.70	$9.44	$11.40 – $11.90
Growth vs. prior year	—	14%	23%	23%

Source: Constellation Q2 2026 Earnings Presentation [2].
Pelagic Notes: 2026, 2027, and 2029 Base EPS reflect company guidance from slide 22. 2028E was estimated using the geometric mean of 2027 and 2029.

CEG management guide base earnings to compound roughly ~20% a year through 2029 [2]. This layer is built upon long-term contracts and policy-backed revenue and is a majority of the earnings stream. At 23.6x the 2029 base EPS, the market gives credit to CEG's growth potential, but the recent dip means you aren't paying for it.

SECTION 3

Financials

How do our predictions and estimates compare to the market's?

Exhibit 3: Adjusted (Non-GAAP) Earnings Per Share

	2023	2024	2025	2026E	2027E	2028E
Adjusted EPS (Base Case)	$6.28	$8.67	$9.39	$12.00	$12.41	$14.65
Bull Case	—	—	—	—	$12.87	$16.32
Bear Case	—	—	—	—	$11.95	$13.31
Consensus	—	—	—	$12.21	$13.52	$16.94
Base vs. Consensus	—	—	—	-1.7%	-8.2%	-13.5%
Bull vs. Consensus	—	—	—	—	-4.8%	-3.7%

Source: Constellation Q2 2026 earnings presentation, Aug 6, 2026, WallStreetZen CEG Stock Forecast, Predictions & Price Target [2, 17].
Pelagic Notes: 2026E is the midpoint of company guidance. 2027E – 2028E are Pelagic estimates. Differences are Pelagic calculations (EPS / Consensus – 1). Adjusted EPS is non-GAAP; GAAP-diluted EPS was $5.01, $11.89, and $7.40 in 2023 – 2025. Consensus estimates vary by provider.

Our base case is below consensus in every forecast year, with the gap widening as the years progress towards 2028. Even our bull case stays below analyst consensus. This is because our base case assumes that CEG's new contracts start mostly in 2029 – 2031, so their earnings arrive after 2028 and don't get fully priced in by the market until later. We also assume that enhanced margins stay around average instead of increasing, which could explain why the gap widens each year. Extra upside would come from higher forward power prices, which feeds into enhanced earnings, or from hyperscaler contracts starting earlier than predicted. Even though our estimates are below the Street's, the 12-month price target of $329.63 still provides about 20% upside, which is why we rate the stock Accumulate rather than Hold.

Exhibit 4: Financial Summary

$M, fiscal year to December	FY2023	FY2024	FY2025	FY2026E
Revenue	24,918	23,568	25,533	35,470
Operating Income (GAAP)	1,610	4,352	3,086	—
Net Income to Common (GAAP)	1,623	3,749	2,319	—
Diluted EPS, (GAAP, $)	5.01	11.89	7.40	—
Net Debt	8,893	5,390	5,351	24,003

Source: Constellation Energy Corp., Form 10-K filings via SEC EDGAR, Constellation Q2 2026 earnings presentation, Aug 6, 2026 [1, 2].
Pelagic Notes: Net Debt is a Pelagic Calculation (Total Debt – Cash). Total Debt is long-term debt + short term borrowings.

Revenue is expected to rise about 39% in 2026, but net debt rose even faster due to the January 2026 Calpine acquisition. The added earnings are valuable, but the higher leverage can make the stock more sensitive to power prices and contract timing.

SECTION 4

Valuation

What is Constellation worth, and how much upside does the stock offer?

As of October 15, 2026, CEG trades at $275.00, well below our 12-month price target of $329.63, which we calculated using a 22.5x multiple against our 2028E adjusted EPS of $14.65. While that implies a strong 20% upside, our estimates still sit below consensus. When combined with the fact that CEG's recent dip doesn't seem to have come from a change in company fundamentals, we rate the stock Accumulate rather than Buy.

Exhibit 5: Scenario Analysis

	Bear	Base	Bull
2028E Adjusted EPS	$13.31	$14.65	$16.32
Key Assumption	Lower enhanced margin and multiple compression	Enhanced margin near company outlook, multiple near 5-year median	Higher enhanced margin and premium multiple is sustained
Valuation Multiple	18x	22.5x	25x
Target Price	$239.58	$329.63	$408.00
Upside / Downside	-12.88%	+19.90%	+48.36%

Source: GuruFocus [18]. Pelagic Calculations.
Price of $275.00 is as of October 15, 2026.
Upside / Downside is calculated through (Target Price / Current Price) – 1.

Our base case multiple, 22.5x, is based on CEG's historical 5-year median valuation multiple of about 23x [5]. We set the bear case multiple at 18x, a small de-rating from the 18.8x the stock trades at today ($275.00 / our 2028E EPS of $14.65) and just above the 17.1x low since 2022 [5]. Lastly, our bull case multiple is anchored to the December 2024 multiple of 25.10x and gives a price target of $408.00, or around 48% upside [18]. This is close to the 52-week high of $412.70, but is still well below the Q2 2025 forward multiple.

Risks

1. **Power prices are volatile.** CEG's Q2 earnings presentation states that sensitivity is about $0.45 of EPS per $1 / MWh [2]. Our bear 2028E EPS, $13.31, is $1.34 below base, or roughly a $3 / MWh miss. At 22.5x, each $1 / MWh miss is worth about $10 per share.
2. **Policy support is uncertain.** While New York ZECs have been extended until 2049, Illinois support ends in 2027 and the §45U credit runs only through 2032 and shrinks when power prices are high [1, 16].
3. **Leverage is high.** After the Calpine acquisition, net debt rose by 348.57% to $24.0B, so the stock is highly exposed to interest rates and any miss in cash flow [1].
4. **Execution on growth.** Delays in restarts and uprates happen, and projects can take years to get approved [1]. A delay moves earnings out in time, which could affect stock prices in key years like 2028 and 2029.

Sources

[1] Constellation Energy Corp., Form 10-K, FY2025
[2] Constellation Q2 2026 Earnings Presentation
[3] Constellation Form 10-Q, Q2 2026
[4] Vistra Q2 2026 earnings release
[5] Consensus EPS: Yahoo Finance and StockAnalysis

- Yahoo Finance, CEG
- Yahoo Finance, NRG
- Yahoo Finance, VST
- StockAnalysis, NRG
- StockAnalysis, VST

[6] Constellation press releases on the Amazon deal (Sept 2026)
[7] Constellation press releases on the Google deal (Oct 2026)
[8] Constellation Outlines Nuclear Expansion Plans at Clinton Site as Meta Partnership Strengthens
[9] Commission Announces Extension of Nuclear Power Credit Program
[10] Constellation Energy Historical Forward PE Ratio
[11] Constellation Energy to Acquire Calpine
[12] What Gives Constellation Energy an Edge in Wholesale Energy Markets?
[13] Constellation to Launch Crane Clean Energy Center
[14] Constellation plans $800m upgrades at two nuclear plants
[15] Constellation Energy to supply nuclear power to Walmart facility under 15-year deal
[16] ONE BIG BEAUTIFUL BILL ACT: IMPACTS ON TAX CREDITS AVAILABLE FOR NUCLEAR ENERGY UNDER SECTIONS 45U AND 45Y
[17] WallStreet Zen CEG Stock Forecast, Predictions & Price Target
[18] GuruFocus CEG (Constellation Energy)

DISCLOSURES

Certification and conflicts. The views here are the author's own and received no compensation. The author does not own CEG securities and does not plan to trade them within 30 days. Pelagic Research has no business relationship with Constellation Energy.

Ratings. Based on expected 12-month total return versus the pricing-date price: Buy ≥ +20%; Accumulate +10% to +20%; Hold −10% to +10%; Sell < −10%. The analyst may assign a rating outside these ranges where judgment warrants. Prices are as of the close on October 15, 2026.

Estimates and sources. The target is 22.5x 2028E adjusted EPS of $14.65. Estimates and scenarios are Pelagic's own, are not guarantees, and may differ materially from actual results. Data come from company filings and third-party providers believed reliable but not guaranteed.

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